

BE  
BE N/A

|     |                  |                              |                                     |                        |
|-----|------------------|------------------------------|-------------------------------------|------------------------|
| Buy | \$300.03 ▲ 9.70% | 12M Price Target<br>\$340.00 | 52-Week Range<br>\$18.39 – \$322.83 | Market Cap<br>\$85.34B |
|-----|------------------|------------------------------|-------------------------------------|------------------------|

BE: AI Power Demand Drives Self-Funding Growth; Reiterate Buy

WHAT'S CHANGED

- BE surged +9.70% to \$300.03 on heavy 8.66M volume, reversing a 4-session slide from \$293.80→\$273.51; CEO commentary (via Stocktwits) framed AI power deals as "self-funding," reigniting the momentum trade with shares now at 93% of 52-week range.
- Unusual call activity concentrated in June \$370 strikes (3,072 contracts, 5.8x OI) signals aggressive upside positioning despite headline P/C of 1.47; stock is up ~3x YTD on solid oxide fuel cell positioning for hyperscaler power constraints.

IMPLICATIONS

The Simply Wall St. piece flagging "valuation and execution expectations" combined with the CEO's self-funding narrative crystallizes the central debate: BE has transitioned from a speculative clean-tech name into a credible behind-the-meter power infrastructure provider for AI workloads, but at 93% of 52-week range the bar is now execution. Utilities (+1.82%) and Tech (+6.76% 5D) co-rallying validates the power-for-AI thesis broadly, and BE is the highest-beta expression of that trade. Institutional ownership at 87.8% with BlackRock and Ameriprise both >8% provides a sponsorship floor, but the bullish options skew suggests near-term moves will be amplified by gamma rather than fundamentals.

VALUATION

At \$85.3B market cap on ~\$2.15B FY26E revenue, BE trades at ~40x forward EV/sales — a premium to traditional power equipment (GE Vernova ~5x) justified only by AI-data-center optionality and high-teens topline growth acceleration. Our \$340 PT implies ~13% upside and assumes 35x FY27E sales as gross margins inflect toward 30%+ with service mix; downside to \$200 reflects multiple compression to 20x if hyperscaler order cadence disappoints. Multiple expansion driver: signed multi-GW hyperscaler contracts with disclosed pricing.

KEY RISKS

- Valuation rerating risk — at ~40x EV/sales, any quarterly bookings miss or guidance hesitation could trigger 30%+ drawdown given retail-heavy momentum ownership
- Hyperscaler vertical integration — Microsoft, Google, or Meta developing in-house power solutions or favoring SMRs/gas turbines over fuel cells
- Natural gas feedstock cost volatility and continued reliance on subsidy/ITC frameworks vulnerable to policy shifts

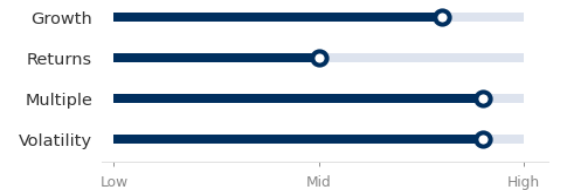
RECENT NEWS

Sector Update: Energy Stocks Rise Tuesday Afternoon MT Newswires · 2026-06-02 17:56

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$300.03 |
| 12M Price Target    | \$340.00 |
| Upside / (Downside) | +13.3%   |
| Market Cap          | \$85.34B |
| FY2026E Revenue     | \$2,150M |
| FY2027E Revenue     | \$2,850M |
| FY2026E EPS         | \$0.35   |
| FY2027E EPS         | \$0.78   |
| Fwd P/E             | 857.0x   |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$335.00  | \$310.00  | \$260.00  |
| 6 Months  | \$380.00  | \$320.00  | \$220.00  |
| 1 Year    | \$450.00  | \$340.00  | \$200.00  |
| 2 Years   | \$600.00  | \$420.00  | \$180.00  |
| 5 Years   | \$850.00  | \$525.00  | \$150.00  |
| 10 Years  | \$1200.00 | \$700.00  | \$100.00  |

SECTOR INTELLIGENCE

**HOT SECTORS:** Utilities, Technology

**COLD SECTORS:** Real Estate, Industrials

**ROTATION WATCH:** Capital rotating into power infrastructure (Utilities +1.82% 1D) as AI data center electricity demand becomes the dominant 2026 narrative; expect continued bid for any name with direct hyperscaler exposure including grid equipment, nuclear, and distributed generation.

**BYPRODUCT PLAY:** Secondary beneficiaries include natural gas midstream feeding fuel cells, electrical equipment suppliers (transformers, switchgear), and HVAC/cooling names; SMR developers (NNE, OKLO) and grid-scale storage represent adjacent narrative-trade vehicles.

OUTPERFORMERS & PEER CONTEXT

- PLUG (Plug Power): Zacks flagged equipment strength growth today; remains volatile but riding the same hydrogen/fuel cell narrative tailwind
- VRT (Vertiv): Data center power/cooling infrastructure remains a Street favorite for picks-and-shovels AI exposure

**BE CONTEXT:** BE is decisively pulling away from peers — up ~3x YTD vs PLUG's more modest gains, and the market is awarding BE a clear premium as the "AI-power pure-play" within distributed generation. Today's +9.7% move on a day Energy rose only +1.20% confirms idiosyncratic strength tied to the CEO's funding commentary.

INVESTMENT STRATEGY

**7/10** Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$260-275 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Major AI data center contract cancellation or hyperscaler in-house power solution announcement

**Hedging:** Long-dated puts or pair short vs PLUG